“How Would We Pay for It?” Questions Families Ask About the Cost of a Parent's Care When Planning Ahead

Ten general answers, and who can answer each one for Dad.

You've typed it into a search bar more than once: how do families pay for long-term care? The answers ran from one line to forty pages. These are ten of the questions families ask while a parent is still managing on his own, answered in general terms.

None of the answers is about Dad in particular, and none is specific to a state. Where the honest answer is “it depends on the state and the situation,” the answer says so, and says who to ask.

1 Doesn't Medicare pay for long-term care?

Generally not. The federal Administration for Community Living says Medicare pays for long-term care only if you require skilled services or rehabilitative care, and does not pay for non-skilled help with activities of daily living, which makes up the majority of long-term care services. Medicare.gov says Medicare generally doesn't cover long-term care in a nursing home. [1] [2]

> **ASK A PROFESSIONAL WHEN** you want to know what Dad's own Medicare coverage or health plan includes. That question goes to the plan.

2 Then who does pay?

A person's own resources, private insurance and public programs, in some combination. Medicare.gov says most people who enter nursing homes start by paying for their care out of pocket. Medicaid pays for the largest share of long-term care services, the Administration for Community Living says, but a person has to qualify under the state's eligibility requirements. Other federal programs, such as the Department of Veterans Affairs, pay only for specific populations and in certain circumstances. [1] [2]

> **ASK A PROFESSIONAL WHEN** you want to know which of these may be relevant for Dad. That is a conversation to have with your Medicaid planner.

3 What would care cost?

No general guide can give you a useful number. The Administration for Community Living says the cost of long-term care depends on the type and duration of care you need, the provider you use, and where you live. It also notes that a facility may charge extra for services beyond the basic room, food and housekeeping, although some have all-inclusive fees. [3]

> **ASK A PROFESSIONAL WHEN** you want a picture of what care might cost where Dad lives and for his situation. That projection is made with your Medicaid planner, not from a table.

4 How much of Dad's money actually has to be spent?

It depends on the state and the situation, so this guide can't give a number. You may have heard that everything has to go first. The public sources describe something less simple: the Administration for Community Living says that when a state determines financial eligibility for Medicaid some assets are counted while others are excluded, and that the assessment can be fairly complex. Medicare.gov says Medicaid programs vary from state to state. [4] [2]

> **ASK A PROFESSIONAL WHEN** you want to know how this works for Dad. Bring the list of what he has to your Medicaid planner. The answer depends on his state.

5 Dad is married. What about the spouse who stays at home?

Federal law has provisions for that situation. Medicaid.gov says they were enacted to prevent what is called spousal impoverishment, and that under them a certain amount of the couple's combined resources is protected for the spouse living in the community. What that amount is depends on the state and the couple's situation. [5]

> **ASK A PROFESSIONAL WHEN** there is a husband or wife in the picture, or that changes. Write it at the top of the page you bring to your Medicaid planner.

6 Are there legal ways to protect or reposition assets?

That is a question about one family in one state, and a general guide can't answer it. What the public sources say is where it belongs. The Administration for Community Living lists exploring a person's qualifications for Medicaid among the things elder law attorneys do, and says consulting one can be the first step in the advance care planning process. The Consumer Financial Protection Bureau's guide for agents under a power of attorney says Medicaid is complicated, and to get legal advice and be very careful about decisions that may affect eligibility. [6] [7]

> **ASK A PROFESSIONAL WHEN** anyone in the family is wondering whether something could be done with Dad's home, savings or accounts. Write the idea down as a question for an elder law attorney and your Medicaid planner.

7 Is it all right to give something to the kids now, or add a name to an account?

Ask before anything is done. Medicaid.gov says the federal rule on transfers concerns people who need long-term services and supports and have transferred, sold or gifted assets for less than they are worth. How a particular gift or change of ownership would be treated depends on the state and the situation. About accounts, the Consumer Financial Protection Bureau's guide says to get legal advice before making any change to a joint account. [8] [7]

> **ASK A PROFESSIONAL WHEN** someone is thinking of giving away, moving or retitling anything of Dad's. If a gift or change was made at some point in the past, it is simply one more line on the page: what was done, and when.

8 Dad has a long-term care policy, some life insurance and an annuity. Will they help?

Each one has its own terms, so the answer is in the paperwork and with the company. Medicare.gov says to check a long-term care policy, or call the insurance company, to find out whether care is covered, and that some insurance companies will let you use a life insurance policy to pay for long-term care. The Administration for Community Living notes that using one such life insurance option may affect eligibility for Medicaid. The National Council on Aging says an annuity's terms vary by product. [2] [9] [10]

> **ASK A PROFESSIONAL WHEN** you've found a policy or a contract and can't tell what it does. Call the company, or take the paperwork to a licensed insurance professional. How it fits with the rest is a question for your Medicaid planner.

9 Dad is a veteran. Does that matter?

It may. The Administration for Community Living says the Department of Veterans Affairs pays for long-term care services for service-related disabilities and for certain other eligible veterans, and that co-pays may apply depending on the veteran's income level. It also describes a program that provides cash to eligible veterans with disabilities and their surviving spouses to purchase home and community-based services. [11]

> **ASK A PROFESSIONAL WHEN** Dad served, or was married to someone who did. Write down the branch and the years as he remembers them. Whether he is eligible for anything is for the VA to say.

10 Which financial strategies make sense for our family's situation?

No guide can tell you, and it isn't a question a family has to answer alone. It takes Dad's whole picture and the right professionals: your Medicaid planner, an elder law attorney, and a licensed insurance or financial professional for any product. When someone offers advice, the Consumer Financial Protection Bureau suggests checking the person's background, notes that special titles don't always mean someone is qualified, and says to ask for the fees in writing. [12]

> **ASK A PROFESSIONAL WHEN** someone recommends a product, a transfer or any other change. Write down who suggested what, and take it to your Medicaid planner before anything is agreed.

What this guide doesn't do

It doesn't answer any question about Dad's own money or about the rules in his state, and it isn't legal, financial or tax advice. Anything that depends on what he has, what a policy says or where he lives needs a professional who knows his state and his situation.

Ready for the next step?

You have plain, general answers, and you know which questions belong to a professional. The planning interview is where the questions become about your family: it asks about your situation and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
2. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
3. Administration for Community Living (LongTermCare.gov), Costs of Care

4. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
5. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
6. Administration for Community Living (LongTermCare.gov), Will I Need a Lawyer?
7. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney
8. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
9. Administration for Community Living (LongTermCare.gov), Using Life Insurance to Pay for Long-term Care
10. National Council on Aging, What Is an Annuity? Types, Costs, Benefits, and Risks
11. Administration for Community Living (LongTermCare.gov), Veterans Affairs Benefits
12. Consumer Financial Protection Bureau, Know your financial adviser

---